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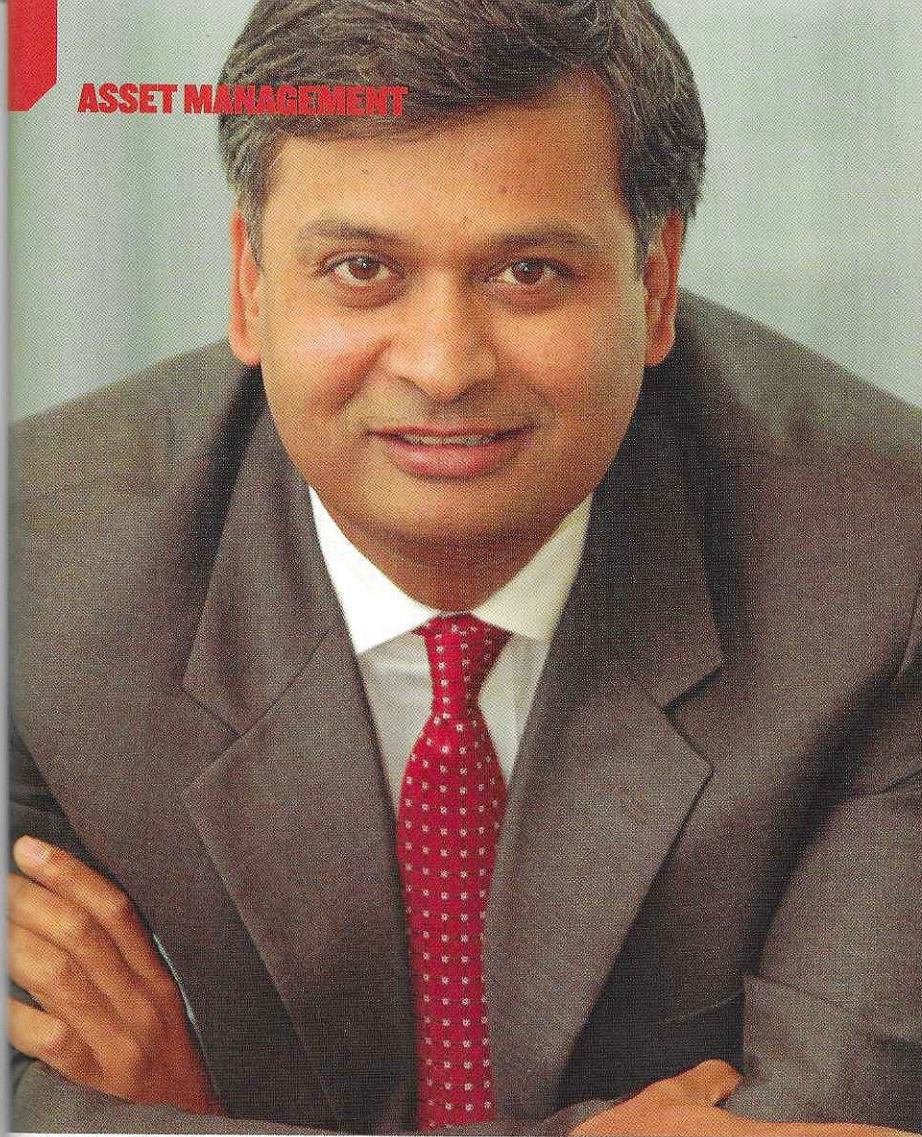
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Looking for the big score

Prudential's speedy expansion in Asia is turning heads. Aradhna Dayal talks to Ajay Srinivasan, the man driving the growth, about the challenges that lie ahead.

On the cricket pitch, Ajay Srinivasan displays the same focus, aversion to risk, and ability to score quickly as he does running the fund management for Prudential Corporation Asia.

In less than four years as chief executive he has built a US\$46 billion mutual fund and life insurance business for Prudential in Asia, up from only US\$40 million, by rapidly entering new markets through acquisition, joint ventures and greenfield ventures.

Srinivasan was only 37 when he was hand-picked in 2001 to head the firm's Asia office after a spectacular innings at the helm of Prudential's Indian JV, Prudential ICICI Asset Management, where he'd grown sales by more than 800% in a single year.

"It was like someone giving me a blank sheet of paper and saying, 'Here, draw your dreams for this business and then make it come true,'" he reminisces.

Prudential today ranks amongst the top five fund managers in almost all the seven countries in which it runs established fund businesses, namely India, Taiwan, Malaysia, Japan, Korea, Hong Kong and Singapore.

Late last year it received its fund licence in new market Vietnam, the first foreign fund manager to do so. And in China, also a new market, its JV with CITIC is just getting live.

Assets under management within Prudential's mutual fund business touched US\$17.4 billion by June 2005 compared with a meagre US\$40 million in 1998. Total funds under management, including its life and mutual funds business, have grown at a compound rate of 35% from 1998 to reach US\$46 billion by June this year.

All of the mutual fund assets are third party, while the remainder of the US\$46 billion is made up of Asian life insurance money, an allocation from the UK life company and some third-party institutional money.

Having an insurance giant such as UK's Prudential as its parent has clearly given the company a headstart in many of these markets, but Pru is amongst a handful of insurance affiliates, including ING and AIG, with a keen desire to establish itself as an independent asset manager.

"Prudential's growth in the nine fund markets it is present in has been quite rapid," says one mutual fund consultant. "But we have to remember that a large chunk of that has been captive business, whether it is managing in-house insurance money or using its insurance sales channel."

The challenge that Srinivasan now faces is to take the business he's built to the next level.

That means breaking out of its insurance-affiliate image, getting its asset-management success story out in the market, and using that to break into bank distribution in a big way. The potential is huge. Cerulli Associates has forecast that mutual fund assets in the region (ex-Japan) will reach US\$750 billion by 2009.

Srinivasan acknowledges that Pru's Asian business has been helped by the brand presence and business channelled to it from its parent.

"Clearly, we have benefited from the strength of the Pru brand across Asia," he says. But he points out that all the mutual fund growth is from third-party sources, with minimal help from Pru's insurance business.

"The fact that we are advantaged by captive distribution is a misconception," he argues, "because in some cases regulations do not allow it and in other cases the preferred distribution for funds is either bank channels or IFAs [independent financial advisers] or security brokers. As a result, the distribution we get from insurance agents is a very, very tiny part of our total business."

Cultivating new markets

When Srinivasan moved to Hong Kong four years back, his brief was to build a sustainable and profitable fund management business for

Prudential in Asia.

Pru had just struck a JV with Bank of China to manage Mandatory Provident Fund (MPF) assets in Hong Kong and entered Taiwan by acquiring Masterlink Securities Investment Trust.

In Japan, Srinivasan took advantage of a revival in the stock market and easier access to the market for foreign fund managers by setting up a greenfields venture. He brought in industry veteran Felix Pang from Fidelity Investments to head up its operations. Simultaneously, Srinivasan entered Malaysia, setting up a business from scratch.

In Korea, the firm bought Good Morning Investment Trust Management in 2002, which, with US\$1.6 billion in assets, propelled Prudential into the midst of the big-league fund houses.

In 2004, Srinivasan set up an international funds division in Singapore, responsible for bringing the Pru group's Open Ended Investment Companies and offshore SICAV range of funds to the region. He also turned Hong Kong and Singapore into regional fund centres, which manage regional mandates.

The group has big life insurance business in Vietnam and the idea is to leverage off that presence with its recently granted asset-management licence, Srinivasan says. A mutual fund will be launched soon.

The Prudential-Citic JV will roll out its first mutual fund in early 2006. In India, the firm is still the top-ranking fund manager with US\$4 billion under management, and in Hong Kong, it is in the top five league in the compulsory pension scheme business, the MPF.

"The fact that we are advantaged by captive distribution is a misconception."

Prudential ranks in the top 10 with US\$4 billion in assets in Japan, which is considered a tough market for global managers to crack. Pru rose to be the largest mutual fund company in Taiwan by 2003, and even after the depletion in assets due to the bond fund crisis, it has US\$2.8 billion in funds under management.

In Singapore, a market dominated by domestic fund managers, Pru ranks in the top five, as it does in Malaysia, thanks to captive distribution from the insurance side and the growing bank/IFA distribution deals it has negotiated. In Korea, funds under management have doubled since the acquisition of Good Morning to US\$3.5 billion.

The market share captured by foreign fund

managers in Asia varies from market to market. While in Hong Kong foreign fund managers run almost 90% of the assets, in Singapore the domination of local players such as OCBC Asset Management and UOB Asset Management makes it around 50:50. But Pru has been able to compete strongly against local players, as in Taiwan, where it raced to the top leaving behind local bigwigs like Capital and Fubon.

Competitive environment

Besides local competitors, Pru is up against foreigners such as ING Investment Management and AIG, which also have insurance parents.

"ING is a very similar animal to Pru," says Shiv Taneja, director for Asia of Cerulli Associates. "They have both grown out of insurance, are present in several markets and both want to break out of their parentage and be seen as independent fund managers."

Like Pru, ING has struck JVs in various markets, namely China, India, Korea, and has built operations in second-tier fund markets such as Malaysia, the Philippines and Thailand, to leverage off its insurance parent's network and assets. Other markets in which it is present include Singapore, Taiwan, Japan and Hong Kong. While Prudential's regional growth is newer and has been more rapid, ING has built a more formidable business in markets such as Australia and Hong Kong.

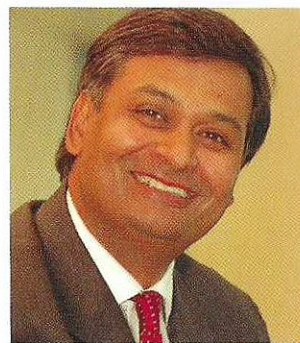
There's a radical difference between Pru's positioning and expansion strategy and that of a retail, pure fund manager like Fidelity Investments. Says the head of a rival fund company, "Pru has followed the footprints of its insurance parent into a lot of markets like Vietnam, Malaysia and Singapore that a pure asset manager like Fidelity may not consider top priority. Fidelity, in contrast to Pru, has a conservative approach to new markets, is not keen on joint ventures or on emerging markets, has built a strong retail brand and is strongly entrenched in bank distributors."

Indeed, Fidelity has not entered China where it can't have 100%-owned operations, and runs only a representative office there. In Singapore, it set up shop a couple of years ago with a pure offshore range rather than getting into onshore business.

Challenges ahead

While Pru has built a large, regional asset-management business in Asia, it is perceived in the market as an insurance affiliate and among retail investors it has a low profile.

"In many ways we are the new kid on the block in terms of asset management in Asia, with our regional footprint only being four years old," says Srinivasan. "Our insurance business has been around much longer as have many other asset-management companies whom we compete with."



AJAY SRINIVASAN
PRUDENTIAL CORPORATION
ASIA

ROLE chief executive, fund management, Asia

HEADQUARTERS Hong Kong

MAJOR BUSINESS Mutual funds, asset management

ASSETS UNDER MANAGEMENT (whole group Asia)

END 2004: US\$46 billion

PRESENT IN CHINA, HONG KONG, INDIA, INDONESIA, JAPAN, KOREA, MALAYSIA, PHILIPPINES, SINGAPORE, TAIWAN, THAILAND, VIETNAM

Given his success so far, what more does Srinivasan need to do to take Prudential to the next level?

Industry experts say Prudential must aggressively carve out bank distribution channels, and move beyond the traditional model chosen by insurance affiliates, which includes first managing proprietary insurance money, then unit linking and finally launching its own mutual funds, he adds.

Like most insurance-led fund houses, Prudential also needs to evaluate the markets it is entering and weigh their pure asset-management potential. "While a pure fund manager has to think whether investing in a new market makes financial sense, the expansion financing or profitability has never been a big concern for managers belonging to insurance groups," says a fund consultant. "That needs to change if they want to be seen as serious asset-management contenders."

Srinivasan has undoubtedly made a great showing at Prudential. "In asset management a lot of people are mediocre and Ajay stands out with his ability to think laterally" says Taneja at Cerulli. "Plus he has ambition and, if you combine the two, you can see why he has been successful."

But he needs to try harder to boost the profile of the group. A fund consultant concurs: "They clearly need to build some personality."

"Ajay is very knowledgeable and well regarded... [but] not many in the industry know about their asset-management story," says the head of the rival fund company. ▀